MODULE 03 · CASE STUDY 14 · PRE-READ FOR CLASS 14

Everybody Said Yes

Three conversations about one idea, and the company that watched what Indians did with their money instead of what they said

READ THIS BEFORE CLASS

Almost every adult in India will tell you they want to start investing. For decades, almost none of them had. This case puts that gap next to something much smaller: a student describing an idea to her mother, to a professor, and to a final-year senior, and getting three very different kinds of answer.

Read the three conversations slowly; they are the heart of the case. As before: no frameworks, no definitions, nothing to memorise. One story, three transcripts, and the numbers underneath them.

1	15–20	5
Case	Minutes to read	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

THE CASE

Everybody Said Yes

A dinner table, a professor's office, a senior's story, and Groww

READING TIME: 15–20 minutes

HOW TO READ THIS CASE

Section 2 contains three short conversations: the same student describing the same idea to three different people. Read all three, and after each one write down, in one line, what the student has actually learned about whether her idea will work.

One thing to hold on to as you read. Nobody in this case is lying. Not the mother, not the professor, not the senior, and not the millions of Indians who said they wanted to invest. Keep asking yourself how honest people can still leave you with a false picture.

1 The Dinner Table

Imagine a nineteen-year-old at dinner, telling her mother about an idea she has been working on for a month. Her mother listens properly, puts down what she is holding, and says: that is a wonderful idea, beta. I am proud of you. You should build it.

The daughter goes to bed happy. Over the next eight months she builds the thing. When she looks back, she will remember that everyone she spoke to was encouraging.

WORTH PAUSING ON

Write down everything the mother's sentence actually told the daughter. Then write down everything the daughter probably *heard*. Are the two lists the same length?

2 One Idea, Three Conversations

Here is one idea, a service that helps students in small cities find and prepare for their first internship, discussed with three different people.

Conversation one, with a mother.

Student	I'm thinking of building something that helps students find internships.
Mother	That's a very good idea. So many students struggle with this.
Student	You think people would use it?
Mother	Of course. You should talk to your uncle, he knows about these things.
Student	You don't think it's too crowded a space?
Mother	Beta, you are very capable. If you build it properly it will work.

Conversation two, with a professor.

Student	Sir, I'm working on a platform to help students find internships. Could I get your feedback?
Professor	Interesting. Yes, placement is a real challenge, particularly outside the metros.
Student	Do you think students would use something like this?
Professor	I think there is certainly a need. You would have to think about how you get companies onto it.
Student	That's the plan for phase two. Do you think the idea is sound?
Professor	It's a good direction. Keep me posted.

> **STOP HERE**
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> Before you read the third conversation, write your one line for each of the first two: what did the student learn? Then read conversation two once more. The professor says one thing that is useful. Find it, and notice what the student does with it.

Conversation three, with a final-year student. The idea is never mentioned.

Founder	You were looking for an internship last semester. How did that go?
Senior	Ya, it was a mess honestly.
Founder	Walk me through it. What did you actually do?
Senior	I asked seniors, mostly. Then I applied to like forty things on two portals.
Founder	Forty. And then?
Senior	I heard back from three. Two were unpaid and one was a scam I think, they asked for a registration fee.
Founder	What did you do about the fee one?
Senior	I paid it.
Founder	…
Senior	It was ₹1,500. My father still doesn't know. That's why I stopped using those portals. I just went through seniors after that.
Founder	How many people in your batch did something similar?
Senior	Out of maybe sixty of us who were looking? Almost everyone ended up going through someone they knew.

Write your one line for conversation three. Then count how many words the founder spoke in it, and compare that with the student in conversations one and two.

3 The Same Story, at the Scale of a Country

The dinner table is small. Here is the same kind of story told across a whole country.

Ask almost any salaried adult in India whether they would like to invest their money more sensibly than leaving it in a savings account, and they will say yes. They will mean it. They will often add that they have been meaning to get around to it. Run that as a survey and you would conclude that the market for investment products in India is very nearly the entire working population, and you could defend the finding, because the answers were sincere.

Now look at what people did. For decades, the number of Indians who actually held a **demat account**, the account you need in order to own shares, was a small fraction of the number who said they wanted to invest. Not slightly smaller: a different order of magnitude. Household savings went overwhelmingly into fixed deposits, gold and property.

The obvious explanation is cost. It is the wrong one. As you saw with Zerodha in an earlier class, a flat ₹20 brokerage fee saves a small monthly investor about ₹25 a month, which is nothing. Cheaper trading did not close the gap.

> **HOLD THIS THOUGHT**
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> If it was not the fee, what was stopping them? Think of an adult in your own family who keeps their savings in a fixed deposit or gold. What would they have to do, learn, or risk to put that money into shares instead? And would they tell a stranger with a clipboard the real answer?

4 Groww: Watching Instead of Asking

Groww was founded in 2016 by four people who had worked together at Flipkart: Lalit Keshre, Harsh Jain, Ishan Bansal and Neeraj Singh. Keshre has described the founding ambition in one sentence: make investing as easy as buying something online. Not cheaper. Easier.

What the founders paid attention to was behaviour. People would download an investing app, open the account form, reach the third screen, and stop. Nothing had been charged yet. There was no fee to object to. They simply did not continue.

Everything distinctive about how Groww was built followed from that:

- **Mutual funds first.** The product started with mutual funds rather than individual shares: the less exciting and far less profitable end of the market, where a first-time investor can begin without having to judge a single company.
- **A smaller vocabulary.** The words on the screen were cut down to what a first-time investor could follow.
- **A rebuilt sign-up.** The account-opening flow was redesigned around the specific screens where people abandoned it.
- **Explaining, not advertising.** The company invested heavily in content that explained investing to somebody who did not yet know the words.

The mutual-fund decision looks obvious now and was not. Selling mutual funds directly to a customer earns a platform very little, so a company that begins there is choosing to serve a customer who is worth almost nothing for a long time. The founders had come from Flipkart, where the same logic is ordinary: win somebody cheaply on a small first purchase and earn from them over years. Applied to investing, it produced a customer who arrives nervous, buys something small, gets comfortable over eighteen months, and eventually trades.

Hold this next to Zerodha. Zerodha understood the serious retail trader better than anybody in India and built a company on a flat fee that was worth ₹36 lakh a year to that customer. It started with a customer worth a great deal immediately. Groww went for first-time investors aged roughly twenty-two to twenty-eight, for whom the saving that built Zerodha was worth about ₹25 a month. It started with a customer worth almost nothing, and waited. Neither choice is wrong. By 30 June 2025 Groww was India's largest investment platform by active NSE clients, nine years after starting from nothing.

5 The Numbers

Two terms first. **Operating margin** is operating profit as a percentage of revenue: how much of every ₹100 of sales is left after the cost of running the business, before interest and tax. **Organic acquisition** means a customer who arrived without the company paying for them: no advertisement, no referral fee, no commission to a distributor.

GROWW, AROUND ITS 2025 LISTING	FIGURE
Revenue growth	Roughly 85% a year, compounded, FY23 to FY25
Net profit, FY25	About ₹1,824 crore
Net result, FY24	A loss of about ₹805 crore, from a one-time tax charge on moving the parent company from the United States to India, not from the business losing money
Operating margin	Up from around 36% to around 59%
Share of retail cash market, June 2025	About 23.66%, up from 12.66% in FY24
Share of derivatives market	About 14.43%, up from 7.59%
App downloads	Over ten crore, the first Indian investment app to cross that mark
Customers acquired organically	About 83%
Active clients retained for more than three years	About 77.7%

One caution. These figures come from a company at the point of listing on the stock market, which is the moment every company presents its numbers in the most favourable way it can defend. The growth is real, and it also happened during a period when Indian retail investing as a whole expanded enormously, which lifted every company in it. A number can tell you that people wanted something without telling you that this company was the reason.

6 The Question This Case Sets Up

Suppose it is 2016 and you ask ten thousand Indians whether they would like to invest. You get a market of hundreds of millions. The real market was much smaller: the people who would open an app, get through the account-opening screens, put in real money, and come back.

Nobody in that survey would have been lying, just as the mother and the professor were not lying. So here is the puzzle to bring to class. If asking produces honest answers that are wrong, what exactly is a founder supposed to do instead: with a mother at dinner, with a professor for ten minutes, and with a whole country? Look again at conversation three, and at the last two rows of the table above. They have something in common.

BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
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> Five questions. A line or two each is enough. Nothing here is collected or graded, but you will be asked for your answers in the room, and the questions are designed so that a wrong answer is more useful than no answer.
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> There are no model answers at the back of this document. That is deliberate.

On Everybody Said Yes

1. **Think of a time in the last year when you told somebody their idea, plan or work was good while privately thinking it was not.** What stopped you from saying so? Be specific about what it would have cost you to be honest.
2. **Write your one line for each of the three conversations: what did the student actually learn?** Then list every number and fact that came out of conversation three. How many came out of the other two combined?
3. **The professor says one useful thing, and the student steers straight past it.** Find the line. Write the single sentence the student should have said next.
4. **Name something you have been 'meaning to get round to' for at least six months**: a gym, a language, a course, saving money. What actually stops you on the day? Would you have given that answer if a stranger asked you in a survey?
5. **You have to convince a sceptic that Indians really do want Groww.** Which single number from Section 5 do you show them, and why that one rather than the profit or the downloads? Then name one thing that number cannot prove.

Bring your five answers and at least one thing from this case that you think is wrong or overstated. The case is written to make a point, and points that go unchallenged are worth very little.